

JurisdicAI Monitor

A Jurisdiction-Aware AI Governance Tool for Credit Decisioning Models

Entity: JPMorgan Chase | Domain: AI Governance | US + EU

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The Problem — One Model, Two Incompatible Regulatory Regimes

JPMorgan Chase deploys credit-scoring AI in both the US and EU. These are not the same regulatory environment.

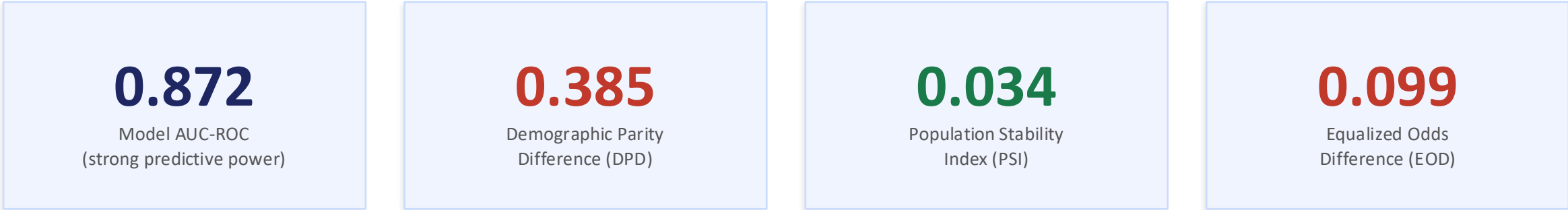
Dimension		US — OCC 2026-13	EU — AI Act 2024
GenAI scope		Explicitly EXCLUDED	Included (Title III)
Pre-deployment check		Not required	Conformity assessment — mandatory
Fairness testing		Advisory only (ECOA separate)	Mandatory bias testing (Article 10)
Human oversight		Recommended	Legally mandatory (Article 14)
Incident reporting		Internal escalation	Notify national authority

A memo cannot flag PSI breach in real time. JurisdictAI monitors production inference data continuously, alerting at yellow threshold before a red (revalidation) event.	A spreadsheet cannot apply different fairness thresholds to the same model depending on where it is deployed. JurisdictAI generates separate US (OCC) and EU (AI Act) reports from one data layer.	EU AI Act post-market monitoring (Art. 72) and conformity assessment (Art. 43) have no US equivalent. A unified spreadsheet cannot track obligations that don't exist in both jurisdictions.
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Today, these two compliance processes run in separate spreadsheets. A model that has drifted in Frankfurt may not be visible to New York compliance until BaFin calls.

Quantitative Results — The Jurisdiction Gap Made Visible

Synthetic dataset: 5,000 retail loan applications | Model: Logistic Regression | Protected attribute used only for post-hoc fairness analysis



Compliance Verdict — Same Model, Same Data, Opposite Outcome:

Metric	Value	US Status (OCC 2026-13)	EU Status (AI Act 2024)
AUC-ROC	0.872	Above 0.70 benchmark	Adequate (no EU AUC standard)
DPD	0.385	✓ Advisory only — no breach	✗ FAIL — exceeds 0.05 threshold
PSI	0.034	✓ GREEN — stable, no action	N/A — post-market plan applies
EOD	0.099	✓ Advisory only	✗ FAIL — exceeds 0.05 threshold

The same model is compliant under US rules and non-compliant under EU rules. Without JurisdictAI, a US compliance team would never see the EU problem.

Regulatory Divergence — The Key Design Choices

Why the same metric cannot be used for both jurisdictions:

US — OCC Bulletin 2026-13

- Primary metric: Population Stability Index (PSI)
- PSI > 0.25 triggers mandatory revalidation
- Fairness testing: ADVISORY only (ECOA / Reg B applies separately)
- No mandated numerical fairness threshold
- GenAI EXCLUDED from scope — separate framework pending
- Human oversight: recommended, not required
- Incident reporting: internal only

EU — AI Act (Regulation 2024/1689)

- Primary metric: Demographic Parity Difference (DPD)
- DPD < 0.05 required (BaFin / EU AI Office standard)
- Bias testing: MANDATORY under Article 10
- Conformity assessment before deployment (Article 43)
- GenAI INCLUDED — Title III foundation model obligations
- Human oversight: MANDATORY under Article 14
- Incident reporting: must notify national authority (Art. 73)

Honest Scope — What the Tool Does Not Do, and Why

We explain what we did not build as clearly as what we did. These are not excuses — they are design choices and resource constraints.

GenAI governance not covered	EU AI Act Title III (foundation model obligations) requires a different architecture. OCC 2026-13 explicitly excludes GenAI. Separate module on roadmap. <i>Would add with more time/data</i>
No remediation capability	We detect problems; fixing them requires model retraining or human policy change. Remediation is outside our scope by design — it preserves human judgement.
Config updates are manual	Regulatory text requires human interpretation before becoming a rule. A regulatory NLP parser would be the next architectural investment. <i>Would add with more time/data</i>
Counterfactual fairness not implemented	Requires a causal graph that cannot be specified without domain knowledge. Described in design doc as advisory metric; excluded here for correctness. <i>Would add with more time/data</i>
APAC coverage thin	MAS 2024 AI MRM guidance is next on the jurisdiction roadmap. HKMA and RBI coverage are absent from the current rule set. <i>Would add with more time/data</i>

Why This Product Is Right for AuditAI Compliance

Our competitive advantage: regulatory translation depth

- DPD threshold of 0.05 sourced from BaFin guidance — not assumed from general knowledge
- OCC 2026-13's GenAI exclusion is correctly reflected — unlike many competitor tools that apply the same framework to all models
- Human oversight attestation checklist built from Article 14 text, not a generic checklist
- Jurisdictional conflict surfaced explicitly — we do not silently pick a winner when US and EU requirements diverge
- Engineering-first RegTech vendors can build dashboards faster. They cannot build jurisdiction fidelity faster.

Revenue Case

~600

*target institutions
(US, EU, SG, UK)*

**SGD 120K–
350K/yr**

per-client pricing

~SGD 15M

ARR at 2% penetration

18% p.a.

*AI governance
market growth (2024)*

JurisdicAI Monitor

One model. Two jurisdictions. Zero ambiguity about which rules apply.

References: OCC Bulletin 2026-13 | EU AI Act Regulation 2024/1689 | BaFin AI Supervisory Guidance 2024 | CFPB Regulation B Rewrite 2026

AuditAI Compliance Pte. Ltd. | MH6822 Regulatory Technology | Assignment 1 | Task 3